

Docket No. 2015-6

**Reply Comments of the Software and Information Industry
Association**

March 18, 2016

SIIA thanks the Copyright Office for the opportunity to submit these reply comments, in which we wish to make two brief points. First, despite the rather different perspectives of copyright owners and users, the comments generally agreed that no changes to existing law were necessary to accommodate problems dealing with embedded software. Second, to the extent that problems with existing law were identified, many of those critiques rest on flawed foundations, identifying judicial confusion when in fact none exists.

The record reflects a consensus that embedded software does not require its own set of rules. Even those commenters with whom we disagree acknowledge that the primary question asked in the NOI—whether changes to the Copyright Act are necessary to accommodate software in everyday consumer devices—should be answered in the negative.¹ Indeed, the initial round of comments revealed consistent and persuasive evidence that existing law spurs substantial investment and innovation not only in smart goods, but software generally.² Assertions of adverse effects routinely come hedged by conditional language:

¹ *See, e.g.*, Computer & Communications Industry Association Comments, at 5 (“neither policymakers nor stakeholders can confidently define an administrable class of “everyday products””); Comments of Aaron Perzanowski et al., at 11 (“Because the problems described above result primarily from misinterpretation of the terms of §§ 101, 109, and 117, legislative intervention is not strictly necessary.”) [hereinafter “Law Professor Comments”]; Comments of Public Knowledge, at 2 (“Many of the policy difficulties that could arise in the embedded software context can be eliminated by simply following the text of the Copyright Act.”). The omission of a particular comment does not signal SIIA’s endorsement or rejection of its contents.

² *See, e.g.*, Microsoft Comments, at 2-3 (describing level of investment in cloud and other services); Chamber of Commerce, at 2-3

- “These comments identify contexts in which copyright *may* be improperly applied”³
- “Many of the policy difficulties that *could* arise in the embedded software context can be eliminated by simply following the text of the Copyright Act”⁴
- “[extension of existing licensing models to embedded software] raises *the possibility* of overlapping copyright and patent protection for the functional features of the same device, not to mention *the potential* for copyright protection for devices that fail to meet the more stringent standards of possibility [sic].”⁵

And so on. Instead, as some commenters candidly admit, their comments have little or nothing to do with problems having to do with embedded software. Their discontents flow from the fact that modern software licensing exists.⁶ Those broader questions, however, have been asked and answered during the Department of Commerce’s preparation of its recent white paper on first sale—a process in which many (if not most) of the same stakeholders participated. At the end of three years of examination, the Department of Commerce found no evidence to warrant

(noting that the commercial software industry has doubled since the beginning of the century, and now accounts for 3.2% of GDP); Law Professor Comments, at 9 (conceding that “In recent years, device makers and service providers have developed no shortage of new and innovative offerings.”).

³ CCIA, at 2 (emphasis added).

⁴ Public Knowledge, at 1 (emphasis supplied).

⁵ Law Professor Comments, at 11.

⁶ *E.g.*, Law Professor Comments, at 1 (decrying licensing as “software exceptionalism”); Music Library Comments, at 1 (“our comments respond to the question of end user licenses in general, rather than specifically to the software-enabled consumer products contemplated by the NOI.”); Owners’ Rights Initiative Comments, at 2 (stating that “we will not distinguish between business products and consumer products... . The impact of copyright and contract law on all these products is the same.”).

amendment to existing law. Tellingly, neither that white paper, nor the record on which its conclusions rest were mentioned once by those critical of the existing licensing regime. That silence, in our view, speaks volumes.

Second, some of the comments have described the law of licensing in fairly misleading or incomplete ways, taking particular issue with the decision in *Vernor v. Autodesk*, 621 F.3d 1102 (9th Cir. 2010). In particular, some commenters have suggested a split between the Second and Ninth Circuits on practices that give rise to a license vs. a sale.⁷ A cursory examination of each of these cases disproves that contention.

The defendant in *Vernor* sold unlicensed software on ebay, having acquired software from a company that had paid \$495 for upgrade versions of Autodesk software that normally sold for \$3750. As a condition of that lower price, the company promised to destroy the older versions of the software.⁸ The license agreement with Autodesk not only reserved title in all versions of the software, it required destruction of prior versions within sixty days, and reserved the right to demand proof of that destruction.⁹ Autodesk enforced its license agreements through not only tracking registered licensees, but requiring the use of activation codes.¹⁰ The Ninth Circuit found that if the copyright owner specifies that the user is granted a license, significantly restricts the user's ability to transfer the software, and imposes notable use restrictions, then it has licensed the software—not sold it.¹¹

In contrast, in *Krause v. Titleserv, Inc.*, 402 F.3d 119, 120 (2d Cir. 2005) the plaintiff had written thirty five computer programs for the defendant over the course of a decade, without evidence of

⁷ Owner's Rights Initiative, at 6.

⁸ See *Vernor*, 621 F.3d at 1105. Autodesk also brought suit against the company, who stipulated to an injunction banning it from further infringement. *Id.* n. 2.

⁹ *Id.* at 1104.

¹⁰ See *id.* at 1104-05.

¹¹ *Krause*, 402 F.3d at 120-21 (noting that the plaintiff had prevented executable files from being decompiled into source code).

a written license agreement.¹² The defendant could not, among other things, add new clients to its customer database or update the addresses of existing clients without modifying the source code.¹³ When he found out that he would have to report to a chief information officer, the plaintiff quit and prevented the existing programs from easily being upgraded.¹⁴ The software was designed for the defendant's sole benefit, and was customized for its operations.¹⁵ The copies were stored on a server owned by the defendant, and could be possessed and used indefinitely.¹⁶

The contextual differences between these two cases are readily obvious. Indeed, given the Ninth Circuit and Second Circuit's emphasis on usage restrictions,¹⁷ it seems more than plausible that *Krause* would affirm the same results as *Vernor*. SIIA respectfully suggests that these two cases do not represent a "split" on the law of licensing, as the contexts are dramatically different. That same difference in context also explains the result in *Augusto*.¹⁸ All these cases represent is courts reaching different results on different sets of facts--a state of affairs that does not warrant legislative intervention on any front.

Respectfully submitted,

/s/

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¹² *Id.* at 124 & n.3.

¹³ *Id.* at 121.

¹⁴ *Krause*, 402 F.2d at 121.

¹⁵ *Id.* at 124.

¹⁶ *See id.*

¹⁷ *See Krause*, 402 F.2d at 124; *Vernor*, 621 F.3d at 1105.

¹⁸ *UMG Recordings, Inc. v. Augusto*, 628 F.3d 1175 (9th Cir. 2011).